Chapter Forty-Five

Fundamental Economic Policy since Independence

India became the master of its own destiny on 15 August 1947 after gaining independence from British rule. From that day, the country and its policy leaders could decide its economic goals and objectives, adopt the economic model considered most suitable for growth, development, employment and other economic goals and objectives, and make the fundamental policy choices to achieve these goals and implement the economic model.

India decided to adopt the socialist pattern of society and entrusted the ‘commanding heights of the economy’, which encompassed basic industries, manufacture of capital goods, plant and machinery, utilities and exploitation and processing of natural resources, to the public sector. It also decided to rein in the private sector by reserving several sectors of the economy exclusively for the public sector, debarring the entry of the private sector in these reserved sectors, and subjecting private industry to the licence and control of the government for the rest of the economy. India also later opted to nationalize almost the entire financial sector by taking over the insurance and banking business from the private sector besides nationalizing many real sector companies as well.

The fundamental economic policy choice India made was to build an economy in which the private sector had limited space to make investment in production of goods and services, that too subject to government control and licence. Economic, financial and fiscal policies were built around this fundamental choice. All subsidiary policies were also formulated within the contours of this socialist economic policy, which permeated all sectors of the economy in the next two decades.